

Prompt: step-by-step Debt Payoff plan

I need a clear, step-by-step debt payoff plan. Act as my personal finance coach and walk me through the best strategy for my situation.

My debt details (fill these in):

- Total monthly take-home income: ₹[amount]
- Available extra payment toward debt each month (beyond minimums): ₹[amount]
- For each debt, list: **Creditor — Current balance — Annual interest rate (%) — Minimum monthly payment — Any special notes (e.g., 0% promo, secured/unsecured)**
 - Example: Credit Card A — ₹45,000 — 18% — ₹1,500 — (no promo)
 - Example: Personal Loan — ₹1,00,000 — 10% — ₹3,000 — (EMI until Dec 2026)

Please do the following:

1. **Explain the two main strategies (briefly):**
 - **Avalanche:** pay highest interest first — pros & cons in one line.
 - **Snowball:** pay smallest balance first — pros & cons in one line.
2. **Recommend the best method for my numbers:**
 - Say which strategy (Avalanche or Snowball) is best and why, using my exact figures.
 - If a hybrid approach is better, describe it briefly.
3. **Create a month-by-month payoff schedule:**
 - Show how much to pay each debt each month until fully paid.
 - Indicate the payoff date for each debt and the total months to clear all debt.
4. **Compare interest costs:**
 - Show total interest paid using your recommended plan vs. paying only minimums.
 - Show dollars/rupees and percentage reduction in interest.
5. **Provide a simple monthly tracking system:**

- A one-page table format I can copy into Google Sheets with columns: Month | Debt name | Starting balance | Payment made | Interest paid | Ending balance | Notes.
- A 3-question monthly check (e.g., “Did I make all payments? Any fees? Can I add extra this month?”).

6. Actionable next steps (very clear):

- 3–6 one-sentence actions I must do this week to start the plan (e.g., set up automatic payments, notify creditors, move extra payment).

Keep explanations short and use my numbers throughout. If any information is missing, ask one question at a time before proceeding.